from him, they argue for in-depth analysis followed by intelligent risk bearing (as opposed to knee-jerk risk avoidance).

OUR METHODOLOGY FOR BOND INVESTING

To examine the relevance of *Security Analysis* to fixed-income investments, I reviewed Graham and Dodd's process for bond investing, and I compared their approach to the one applied by my firm, Oaktree Capital Management, L.P. The bottom line is that, while Graham and Dodd's thoughts may be expressed differently, most are highly applicable to today's investment world. In fact, they strongly parallel the approach and methodology developed and applied in the area of high yield bonds over the last 45 years by my partner, Sheldon Stone, and me.

1. *Our entire approach is based on recognition of the asymmetry that underlies all non-distressed bond investing.* Gains on fixed-income securities are limited to the promised yield plus perhaps a few points of appreciation, while credit losses can cause most or all of one's principal to be lost. The key to success lies in avoiding losers, not in searching for winners. As Graham and Dodd note:

> Instead of associating bonds primarily with the presumption of *safety* . . . it would be sounder to start with what is not presumption but fact, *viz*., that a (straight) bond is an investment with *limited return*. . . .
>
> Our primary conception of the bond as a commitment with limited return leads us to another important viewpoint toward bond investment. Since the chief emphasis must be placed on avoidance of loss, bond selection is primarily a negative art. It is a process of exclusion and rejection, rather than of search and acceptance. (Chap. 6)

2. *Our high yield bond portfolios are tightly focused.* We work mostly in that part of the curve that we consider the "sweet spot," centered around B-rated bonds, where healthy yields can be earned, and the